

Bank Reconciliation Statement

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Lite — Quick Review (1h-1d)

Rapid summary for last-minute revision before your exam.

A Bank Reconciliation Statement (BRS) reconciles the bank balance shown in the Cash Book (CB) with the balance shown in the Pass Book (PB) on a given date, so the true bank position can be identified. Differences arise from timing, omissions, errors, or transactions recorded by only one party.

Term	Meaning	Adjustment Rule (start from Cash Book side)
Cheques issued but not presented	Sent to supplier, not yet encashed	Add to CB balance
Cheques deposited but not cleared	Sent to bank, not yet credited	Less from CB balance
Interest/Dividend credited by bank	PB only	Add to CB balance
Bank charges / Debit interest	PB only	Less from CB balance
Direct deposit by customer	PB only	Add to CB balance
Direct payment by bank (EMI, insurance)	PB only	Less from CB balance
Dishonoured cheque (deposited)	Reversal needed in CB	Less from CB balance

High-Yield Memory Hook: "ADD LESS — nature decides" — From Cash Book side, add items that increase Pass Book balance (cheques issued not presented, interest credited, direct receipts); less items that decrease it (cheques deposited not cleared, bank charges, direct payments). For overdraft starting balance, every Add/Less reverses sign.

Standard — Regular Study (2d-2mo)

Standard content for students with a few days to months.

Core Purpose and Scope

BRS detects timing differences, errors, omissions, and possible fraud between two parallel records of the same bank account. The Cash Book is maintained by the business, while the Pass Book is maintained by the bank. The ICSI prescribes the adjusted Cash Book method as the preferred approach: first rectify one-sided errors in the Cash Book, then prepare BRS to reconcile the corrected CB balance with PB balance.

Starting Point and Direction Rule

Choose the starting book that minimises adjustments. If the Cash Book shows a favourable (credit) balance, start from CB. If it shows an overdraft (debit) balance, start from PB. Direction rule: the item is added when it brings the starting balance closer to the target balance.

Concept Comparison Matrix

Aspect	Cash Book (CB)	Pass Book (PB)
Maintained by	Business / Accountant	Bank
Effect of deposit	Debit (Dr.) increases balance	Credit (Cr.) increases balance
Effect of withdrawal	Credit (Cr.) decreases balance	Debit (Dr.) decreases balance
Cheque issued by business	Recorded immediately	Recorded only on presentation
Bank charges, interest	Not visible till PB received	Reflected at once
Balance nature	Favourable = Cr.; Overdraft = Dr.	Favourable = Cr.; Overdraft = Dr.

Item Appears in CB? Appears in PB? BRS Adjustment Needed?

Contra entry (cash deposited directly into bank) Yes Yes No
 One-sided error in CB Yes (wrong) No (correct) Yes — rectify CB first
 One-sided error in PB No Yes (wrong) Yes — adjust in BRS
 Two-sided equal error Yes (wrong) Yes (same error) No — cancels out
 Dishonoured cheque (deposited by firm) Yes (originally) Yes (reversed) Adjust only if not yet rectified in CB

Steps to Prepare BRS (Adjusted Cash Book Method)

Rectify all one-sided errors in the Cash Book by passing journal entries.

Balance the corrected Cash Book to obtain the adjusted CB balance.

List items appearing only in Pass Book (bank charges, interest, direct deposits, direct payments).

Apply Add/Less logic from CB side using the formula:

Adjusted CB balance + items increasing PB – items decreasing PB = Balance as per PB

Match with PB balance; difference should be zero. Any residual mismatch indicates a missed item.

Exam-Level Worked Problem

Question: As on 31st March 2025, the Cash Book of M/s R.K. & Co. showed a favourable balance of ₹2,40,000. On scrutiny: (i) Cheques issued but not presented totalling ₹75,000; (ii) Cheques deposited but not yet cleared ₹1,10,000; (iii) Bank charges debited by bank ₹1,500; (iv) Interest on deposit credited by bank ₹6,200; (v) A customer directly deposited ₹25,000 into the firm's bank account; (vi) Insurance premium paid by bank on behalf of firm ₹8,400. Prepare the BRS and find the balance as per Pass Book.

Solution:

Start from Cash Book (favourable balance). Apply rules:

Item	Treatment	Amount (₹)
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Balance as per Cash Book (favourable)	Start	+2,40,000
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Cheques issued but not presented	Add	+75,000
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Cheques deposited but not cleared	Less	–1,10,000
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Bank charges	Less	–1,500
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Interest on deposit credited	Add	+6,200
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Direct deposit by customer	Add	+25,000
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Insurance paid by bank (direct payment)	Less	–8,400
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Balance as per Pass Book (favourable)	Result	₹2,26,300
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Examiner Trap: Students frequently interchange items (i) and (ii) — cheques issued but not presented must be added (Pass Book is still lower), while cheques deposited but not cleared must be deducted (Pass Book will later rise when cleared). Getting this swap costs full marks.

Extended — Deep Study (3mo+)

Comprehensive coverage for students on a longer study timeline.

Edge Cases and Boundary Conditions

Situation	Treatment
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CB shows overdraft, PB shows favourable	Start from PB side; every Add/Less direction reverses
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Post-dated cheque issued	No BRS entry till date arrives and cheque is presented
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Stale cheque (>3 months old)	Reverse from CB if originally recorded; cheque becomes void
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Stop-payment by drawer	Bank will not honour; reverse the original PB-side entry via BRS
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NSF (Not Sufficient Funds) cheque deposited	Reverse in CB: debit the party, credit Bank
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Interest on loan debited by bank Less from CB balance (overdraft)
Dividend/interest collected by bank Add to CB balance
Bank errors (e.g., wrong debit) Less if starting from PB; Add if starting from CB
Credit card commission / GST on bank charges Treated as part of bank charges (Less)
Electronic clearing (ECS/NEFT) direct credit Add to CB

Mathematical Limit — Algebraic Verification

Using the universal formula: Balance as per CB + Σ adjustments = Balance as per PB, where favourable = (+ve) and overdraft = (–ve). Plug in: (+2,40,000) + (+75,000) + (–1,10,000) + (–1,500) + (+6,200) + (+25,000) + (–8,400) = +₹2,26,300. The result is positive, confirming a favourable Pass Book balance — consistent with starting from a favourable CB.

Connection to Adjacent Topics

BRS links directly to Rectification of One-Sided Errors (CS Executive Accounting Module 2) and Bank Audit queries under Schedule III of the Companies Act, 2013. It also feeds into the Cash Flow Statement reconciliation of cash and cash equivalents (AS-3 / Ind AS-7). Understanding BRS makes subsequent topics on consignment accounts, partnership dissolution, and company accounts easier because all rely on the same Add/Less logic for reconciling independent records.

Common Mistakes in Exam Papers

Starting-point selection error when CB has overdraft — leads to mass sign reversal mistakes.
Treating dishonoured cheques as fresh entries — must reverse the original deposit.
Ignoring bank-only transactions (charges, ECS credits, direct debits for SIPs/EMIs).
Adjusting contra entries — both books already match; no BRS item.
Forgetting stale or post-dated cheques — they are contingent, not yet real entries.
Mixing up "interest on overdraft" with "interest on deposit" — opposite directions.

Advanced Practice Prompts

A firm's Cash Book shows an overdraft of ₹1,80,000. Cheques issued but not presented: ₹65,000. Cheques deposited but not cleared: ₹42,000. Bank charged ₹2,500 as commission and credited ₹3,800 as interest on a fixed deposit held with the same bank. What is the balance as per Pass Book?

Pass Book shows a favourable balance of ₹5,12,000. A cheque of ₹50,000 deposited was dishonoured; bank charged ₹500 return memo fee. Cheques issued but not presented totalled ₹1,25,000. Prepare BRS starting from Pass Book to find Cash Book balance.

Formula Check: All adjustments are in ₹ (INR) and follow the principle Add when target-side balance increases, Less when it decreases. For overdraft, both the starting balance and every adjustment flip sign relative to the favourable case.

Continue your study

- View this topic in your CS Executive roadmap — see where "Bank Reconciliation Statement" fits in your personalised plan
- Build a quick revision plan — 1-day sprint covering highest-weight topics
- CS Executive exam overview — pattern, eligibility, and syllabus
- All Accounting notes — browse sibling topics in this subject

Content adapted based on your selected roadmap duration. Switch tiers using the selector above.